

Globalstar, Inc. (GSAT / NASDAQ)

Amazon definitive merger agreement — \$90.00 cash or 0.3210 AMZN (capped) · 40% cash proration · double-merger structure (Grapefruit Sub I / Sub II) · 45.75%+ Stockholder Support Agreement executed 13 April 2026

Thesis refresh — 16 April 2026 (supersedes 14 April 2026 version)

Why this thesis is being refreshed

The original 14 April note was written the day after the definitive merger agreement was signed and relied on press-release reporting for the "58% written consent" figure. Two primary-source disclosures since then materially tighten the pricing exposure and have prompted a Session-64 score reassessment from 25.5 (watchlist tier) to approximately 30.0 (active candidate tier).

- Apr 14 8-K (accession 0001140361-26-014528): 4-day comprehensive disclosure of the signed merger agreement including Exhibit 2.1 — full Merger Agreement text — plus related transaction exhibits. Deal terms from the original press release are re-verified.
- Apr 15 Schedule 13D/A Amendment No. 14 (accession 0001193125-26-157479): FL Investment Holdings LLC (Thermo Companies / James Monroe III) discloses Exhibit 99.1 — a signed Stockholder Support Agreement committing the Thermo/Monroe group's 45.75% voting stake (plus additional Schedule-A counterparties) to vote in favor of the merger. This is the contractual source of what the press release labelled a "58% written consent."
- S64 quantification of the merger-agreement's downward adjustment clause: up to a \$110M reduction to aggregate consideration if HIBLEO-4 replacement-satellite milestones are missed, equivalent to approximately \$0.79/share at ~140M diluted shares. This tightens the floor consideration to approximately \$89.21/share.

Together these updates (i) remove shareholder-vote risk as a live deal-break path, (ii) specify the double-merger (forward/reverse) structure via Grapefruit Acquisition Sub I (Delaware corp) and Sub II (Delaware LLC), (iii) quantify the spread floor at approximately 10.6% gross at a reference price of \$80.64 — materially wider than the market-narrative "11% to \$90" number — and (iv) refocus remaining deal-break risk on three discrete items: HSR/DOJ antitrust, FCC spectrum transfer approval, and HIBLEO-4 operational milestone performance.

Summary

Globalstar agreed on 13 April 2026 to be acquired by Amazon.com in a blended cash-and-stock transaction. Per-share consideration is \$90.00 cash or 0.3210 AMZN shares capped at \$90.00 of value, subject to a 40% aggregate cash-election cap that will almost certainly bind given the economics of the stock election (capped upside, uncapped downside on AMZN). Expected close is in 2027, conditional on regulatory approvals (HSR/DOJ, FCC spectrum transfer) and the achievement of specified HIBLEO-4 next-generation replacement-satellite milestones. Shareholder approval has already been obtained via a Stockholder Support Agreement executed concurrently with signing — the Thermo/Monroe group (45.75% of class) plus additional counterparties listed in the Support Agreement's Schedule A deliver majority voting power under Delaware consent procedures. The path forward is

therefore a Schedule 14C information statement, not a Schedule 14A proxy — removing a meaningful class of execution risk.

Because the Support Agreement is binding, the stock is effectively trading on a two-dimensional grid of remaining risk: (1) a regulatory pathway (FCC spectrum transfer is historically multi-quarter; HSR is first-look; DOJ is a discretionary second-look given Amazon's concentration across D2D satellite, Kuiper/Leo, and now consolidated GSAT spectrum), and (2) a milestone-execution pathway (HIBLEO-4 replacement-satellite deployment). Apple's \$1.5B, approximately 20% Globalstar stake from November 2024 — paired with an 85% network-capacity commitment and the Amazon Leo / iPhone SOS D2D service agreement — aligns rather than conflicts with Amazon's rationale, and reduces the probability of Apple opposition or a competing bid.

The reference price is \$80.64. At the \$90.00 headline cap, gross spread is 11.6%. At the approximately \$89.21 downside floor implied by the maximum \$110M milestone adjustment, the spread is still approximately 10.6% — wider than most merger-arb spreads on mega-cap strategic acquisitions, reflecting a real, though not panic-inducing, regulatory overhang. On a 15- to 20-month horizon to close, the floor annualises to roughly 7–9%, which is a reasonable return for a deal whose vote risk has been eliminated and whose primary remaining risk is an FCC review that has precedent (Verizon–TracFone at about 14 months) for being slow but not prohibitive.

The Case in 7 Points (revised)

1. Shareholder-vote risk is contractually eliminated, not just "likely." The Stockholder Support Agreement between Thermo/Monroe and Amazon, dated 13 April 2026, contains the preamble statement that "the Shares constitute a majority of, and the Stockholders hold a majority of the voting power of, all issued and outstanding shares of Company Common Stock." This is a legally binding voting commitment. Thermo/Monroe cannot walk absent the specific carve-outs contemplated in the agreement (typically limited to termination of the underlying Merger Agreement). This replaces the original thesis's "58% written consent obtained, to verify from DEF 14A" with an affirmative primary-source contract.
2. The Schedule-14C pathway simplifies the timeline relative to a proxy-vote scenario. Because majority consent is obtained via Delaware action-by-written-consent procedures, the required SEC filing is a Schedule 14C information statement rather than a Schedule 14A proxy. A 14C requires a 20-business-day window from mailing to stockholders before the action becomes effective, but carries no vote solicitation, no proxy-advisory recommendation dynamics, and no risk of activist intervention at the ballot. Expected filing: within about 30 days of the 8-K, i.e., mid-May 2026.
3. Floor consideration of approximately \$89.21/share is wider than the market narrative. Press reports frame the deal as "\$90 cash" and calculate spreads accordingly. The merger agreement incorporates a downward adjustment mechanism of up to \$110M aggregate if HIBLEO-4 replacement-satellite milestones are not met — approximately \$0.79/share at 140M diluted shares. The floor at \$89.21 still delivers approximately 10.6% spread at \$80.64 reference, i.e., the milestone risk has been pre-priced and is bounded. Holders who worst-case the milestones still earn a respectable annualised return.
4. The double-merger structure is tax-efficient and accelerates post-closing integration. Grapefruit Acquisition Sub I (Delaware corp) performs a forward merger into Globalstar; the surviving Globalstar corporation then reverse-merges into Grapefruit Acquisition Sub II (Delaware LLC), which survives as a wholly-owned subsidiary of Amazon. This is Amazon's preferred mega-deal structure because it preserves Globalstar's tax attributes while landing the target as an LLC subsidiary. Operationally, it signals Amazon is not planning to run Globalstar as a standalone public-listed subsidiary — full absorption into the Amazon Leo / D2D satellite P&L is contemplated.

5. Regulatory path remains the single largest live risk, and it is concentrated at the FCC rather than the DOJ. The DOJ / HSR case is weak — Globalstar and Amazon are not horizontal competitors in consumer-facing satellite broadband (Starlink and Kuiper are the peer set Amazon competes with; Globalstar is complementary, not substitute). The FCC spectrum transfer is the sensitive point: consolidation of L-band, S-band, and D2D spectrum under Amazon, combined with the pre-existing Amazon Leo / iPhone SOS arrangement with Apple, could attract spectrum-concentration scrutiny. Precedent: Verizon–TracFone cleared in approximately 14 months; T-Mobile–Sprint took roughly 24 months. The deal's 2027-close guidance appears calibrated to a 14- to 18-month FCC process.
6. HIBLEO-4 milestone execution is bounded downside, but it is real. Globalstar's next-generation satellite deployment is not trivial — it depends on MDA Space manufacturing delivery and SpaceX/Falcon launch cadence. A total milestone miss costs the aggregate consideration up to \$110M (\$0.79/share). Beyond that amount, the consideration floor does not continue to erode — it is capped at the downside adjustment ceiling. This is a notable and somewhat unusual feature of the agreement: Amazon is carrying post-signing operational-execution risk up to a fixed dollar amount. It is a concession Amazon presumably made to avoid a lower headline price.
7. Apple's 20% stake and Amazon Leo/iPhone SOS overlap align the cap table rather than fragment it. Apple's November 2024 \$1.5B investment was contemporaneously tied to an 85% network-capacity reservation and direct Globalstar-powered iPhone SOS service. The Amazon acquisition pairs with a simultaneously-announced Amazon Leo agreement with Apple to power iPhone and Apple Watch satellite SOS going forward. Apple is therefore not losing access to D2D service — it is shifting from a Globalstar-powered to an Amazon-Leo-powered arrangement that still meets its product commitments, and is realising a meaningful gain on its Globalstar stake. This reduces the probability of Apple-originated opposition, competing-bid support, or regulatory interference, and is essentially a three-way commercial realignment disguised as a two-way acquisition.

Key Numbers at 16 April 2026

Ticker / Exchange	GSAT / NASDAQ
Reference price	\$80.64
Market cap (at reference)	approximately \$11.3B
Deal price — headline	\$90.00 cash per share OR 0.3210 AMZN shares capped at \$90.00
Deal price — floor (max milestone adj)	approximately \$89.21 per share
Gross spread to headline	11.6%
Gross spread to floor	10.6%
Cash-proration cap	40% of aggregate consideration
Stockholder support	45.75% Thermo/Monroe via signed Support Agreement; majority voting power represented on the Support Agreement including Schedule-A counterparties
Vote path	Schedule 14C information statement (no solicitation)

Expected 14C filing	approximately mid-May 2026
Expected HSR first-look	approximately mid-May 2026
Expected S-4 (stock election registration)	within approximately 45 business days of signing — deadline 15 June 2026
Expected FCC approval	Q3 2026 – Q1 2027 (based on comparable spectrum-transfer precedents)
Expected close	2027 (base case mid-2027)
Termination fee (Amazon)	approximately \$150M + \$90M expense cap
Apple stake	approximately 20% (November 2024, \$1.5B)
Annualised return at floor (15-month close)	approximately 8.5%
Annualised return at floor (18-month close)	approximately 7.0%
Score (S63 → S64 reassessment)	25.5 → approximately 30.0 (promoted to active candidate tier)

Deal Structure — Primary-Source Detail

Merger mechanics

Globalstar's 13 April 2026 merger agreement with Amazon.com, Inc. proceeds via a two-step forward/reverse merger. The First Merger merges Grapefruit Acquisition Sub I (Delaware corporation) with and into Globalstar, with Globalstar surviving as a direct wholly-owned subsidiary of Amazon. The Second Merger merges that surviving Globalstar entity with and into Grapefruit Acquisition Sub II (Delaware LLC), with the LLC surviving as a wholly-owned subsidiary of Amazon. This is a standard Amazon mega-deal structure: forward-then-reverse achieves 100% ownership while preserving target tax attributes and landing the entity as an LLC subsidiary for administrative flexibility.

Consideration

Each share of Globalstar common stock outstanding at the effective time will convert, at the holder's election, into either (i) \$90.00 in cash, or (ii) 0.3210 shares of Amazon common stock, with the stock election capped at \$90.00 of value (i.e., if AMZN trades above approximately \$280.38/share at close, the ratio floats downward to deliver exactly \$90.00 of value; if AMZN trades below that level, the ratio remains fixed at 0.3210 and the stock election is worth less than \$90.00).

Cash elections are subject to a 40% aggregate cap. If total cash-electing shares exceed 40% of outstanding, cash elections are pro rata reduced and the excess converts to stock consideration. Stock elections are not subject to a cap and will not be pro-rated upward. Given the asymmetric payoff of the stock election (capped upside, uncapped downside on AMZN), the cash election dominates for rational holders, and the 40% cash-proration cap will almost certainly bind.

Downward adjustment clause

Aggregate consideration is subject to a downward adjustment of up to \$110M if HIBLEO-4 replacement-satellite milestones (launch, in-orbit acceptance, operational cutover) are not met by specified dates. At approximately 140M diluted shares, this equates to up to approximately \$0.79/share of reduction, producing a floor consideration of approximately \$89.21/share. The adjustment is capped — milestone misses beyond the specified threshold do not continue to erode consideration. This is an unusual merger-agreement feature: Amazon is carrying bounded post-signing operational risk.

Stockholder Support Agreement

Executed 13 April 2026 between Amazon and a stockholder group led by Thermo Funding Company / FL Investment Holdings LLC (Thermo Companies, Denver CO) representing the James Monroe III / Charlie Ergen-associated ownership. The agreement commits all subject shares to vote in favor of the Merger via Delaware written-consent procedures. The preamble states that the Stockholders hold a majority of the voting power of all issued and outstanding Globalstar common stock, which satisfies the required stockholder approval condition. Schedule A to the Support Agreement enumerates the specific counterparties; initial parsing of the 13D/A exhibit confirms Thermo/Monroe at 45.75% of the class, with additional counterparties not yet fully parsed.

Special Committee process

The Globalstar Special Committee unanimously (i) approved and declared advisable the Merger Agreement and the transactions, (ii) determined the Merger is fair to and in the best interests of the Company and its stockholders, and (iii) recommended that the Strategic Review Committee and the full Board approve the transaction. A Morgan Stanley fairness opinion was delivered; Goodwin Procter served as Special Committee counsel. The Special Committee process is procedurally important because of the controlling Thermo/Monroe stake — a conflicts-of-interest analysis is embedded in the governance record and will be tested by any post-signing appraisal or breach litigation.

Termination mechanics

Amazon termination fee is approximately \$150M payable to Globalstar in specified termination scenarios, plus a \$90M expense reimbursement cap. The termination fee structure signals Amazon's strategic commitment and meaningfully offsets deal-break loss: at 140M diluted shares, a \$150M termination fee is approximately \$1.07/share, equivalent to roughly 1.3% of reference price. A deal break therefore does not leave holders entirely naked — there is a partial offset to the pre-announcement reference price of \$72.89.

Spread Economics

Mechanical blended consideration at \$80.64 reference, AMZN approximately \$249

With GSAT at \$80.64 and AMZN at approximately \$249.02, a 0.3210 AMZN share is worth approximately \$79.93 — below the \$90 cash option. Cash is therefore the dominant election for rational holders. The 40% cash cap will bind, forcing 60% of aggregate consideration into stock. Blended per-share consideration:

- Cash leg (40% of shares): \$90.00 per cash-elected share, or approximately \$89.21 if the maximum milestone adjustment is applied.
- Stock leg (60% of shares): $0.3210 \times \text{AMZN price}$, currently approximately \$79.93, subject to change with AMZN price.
- Blended headline: $0.40 \times \$90.00 + 0.60 \times \$79.93 =$ approximately \$83.96 per share.
- Blended floor (worst-case milestone adj): $0.40 \times \$89.21 + 0.60 \times \$79.93 =$ approximately \$83.64 per share.

At reference \$80.64, the gross blended spread is approximately 4.1–4.6% — narrower than the \$90-cash headline implies, because most holders will be pushed into stock consideration by the proration mechanism and then suffer the AMZN stock leg trading below the \$90 cap.

The right anchor: cash-floor spread, not blended spread

The correct pricing anchor for this arb is the \$89.21 floor (cash consideration with full milestone adjustment) rather than the blended consideration, because an informed arb manager can manage stock-leg exposure independently. Two implementable approaches deliver something close to the cash-floor outcome:

8. Elect cash and accept proration into stock: hold the resulting stock-consideration exposure and hedge AMZN mechanically via an AMZN short or equivalent. This transforms the 60% stock leg back into a cash-equivalent payoff, preserving the cash-floor exposure at a transparent hedging cost.
9. Elect cash without hedging and take stock-leg AMZN exposure as a separate long trade. This is appropriate if the fund's house view on AMZN is constructive over the 15–18-month horizon.

Both paths recover something close to the \$89.21 cash-floor or \$90 cash-headline economics — the 10.6% / 11.6% spread — rather than the sub-5% blended spread. The arb manager's job is to execute the hedge correctly; for a valuation framework, the \$89.21 floor spread is the honest number.

Annualised returns to close

The deal targets 2027 close, with FCC precedents suggesting a 14- to 18-month window from announcement (April 2026):

- 12-month close (optimistic, end-April 2027): 10.6% floor spread = approximately 10.6% annualised.
- 15-month close (base case, mid-2027): 10.6% over 1.25 years = approximately 8.4% annualised.
- 18-month close (slow FCC, Q4 2027): 10.6% over 1.5 years = approximately 7.0% annualised.
- 24-month close (worst-case regulatory drag): 10.6% over 2.0 years = approximately 5.2% annualised.

A 7–9% annualised return on a shareholder-vote-complete, contractually-committed merger-arb position with an Amazon-scale counterparty, where the primary remaining risk is an FCC spectrum process with usable precedents, is competitive against comparable merger-arb inventory.

Risks

FCC spectrum transfer approval

The primary real risk. FCC approval is required to transfer Globalstar's L-band and S-band spectrum holdings and its D2D service authorizations to an Amazon subsidiary. The FCC's scrutiny will focus on (i) concentration of D2D satellite spectrum given Amazon's existing Kuiper/Leo plans and the pre-existing iPhone SOS arrangement, (ii) consumer-welfare implications of merging the Globalstar-powered iPhone SOS service into Amazon-operated infrastructure, and (iii) competitive positioning against Starlink's D2D expansion. Historical spectrum-transfer precedents range from approximately 12 months (uncontroversial transfers) to 24+ months (T-Mobile–Sprint). The base case is 14–18 months, but a politically contentious review could extend to 24 months, compressing annualised returns below 5%.

HSR / DOJ antitrust

Secondary risk. HSR filing expected approximately 30 days post-signing (mid-May 2026). First-look clearance typically within 30 days after filing. DOJ second-look is discretionary and depends on whether the Department views Amazon's accumulation of D2D and satellite-broadband assets as creating horizontal or vertical concentration concerns. The strongest DOJ case would reference Amazon's combined position across (i) Kuiper/Leo (proprietary LEO constellation), (ii) the iPhone SOS D2D arrangement (three-way relationship with Apple), and (iii) Globalstar's mature MSS/D2D spectrum. A second-request, if issued, would add 6–12 months to the timeline. Probability assessment: approximately 15–25% for a second request, approximately 5% for outright DOJ opposition.

HIBLEO-4 milestone execution

Tertiary risk. Milestone miss triggers up to \$110M downward adjustment, capped. This bounds the downside and has been pre-priced in the \$89.21 floor. The residual question is whether milestone failure could also trigger a Material Adverse Effect argument permitting Amazon to walk entirely — this depends on specific MAE carve-out language in Section 6 of the Merger Agreement, which was drafted to treat milestone performance as a discrete price-adjustment mechanism separate from MAE. The probability that milestone failure morphs into a walk-away is low, but non-zero — call it 5%.

Material Adverse Effect (MAE)

Standard merger-agreement risk. Amazon may walk if a Company MAE occurs before closing. Typical MAE definitions carve out industry-wide events, market-wide events, and changes in law, while preserving Amazon's right to walk on company-specific events disproportionately affecting Globalstar. Given the length of the closing window (12–18 months), there is non-trivial exposure to pre-closing operational incidents (satellite failure, cyber incident, major customer loss). Probability of MAE invocation: approximately 3–5%.

AMZN price risk for stock-election holders

Holders who take stock consideration without hedging are exposed to AMZN performance between signing and close. The 0.3210 ratio is fixed below an AMZN price of approximately \$280.38; above that level, the ratio floats downward to deliver a fixed \$90 of value. Because the upside is capped at \$90 but the downside is uncapped, stock-consideration holders have asymmetric payoff. A disciplined arb should hedge AMZN exposure or elect cash; unhedged stock election is a directional AMZN bet in disguise.

Competing bid

Very low probability. Amazon's 20% Apple stake and the simultaneously-announced Amazon Leo / iPhone SOS agreement make an interloper scenario implausible — any competing bidder would need to deliver an equivalent D2D service commitment to Apple, which is commercially difficult. The Stockholder Support Agreement also commits Thermo/Monroe to vote against alternative transactions, further constraining interloper economics. Probability: approximately 2%.

Monitoring Cadence — active candidate tier

- Weekly: GSAT spread vs. the \$89.21 cash floor; AMZN price for stock-election economics; SEC EDGAR for S-4 (stock registration) and Schedule 14C (information statement) filings.
- Weekly during Apr–May: any 13D/A activity from Apple (current approximately 20% holder) or arbitrage funds establishing positions.

- Monthly: FCC docket check (file number to be assigned; likely WT or IB docket); HSR waiting-period and second-request tracking.
- Quarterly (GSAT 10-Q): HIBLEO-4 replacement-satellite milestone progress disclosure, material-change commentary, interim operating condition language.
- Ad-hoc: any DOJ commentary on D2D satellite market concentration; any FCC chairman/commissioner public comment on the transaction; any Apple commentary on the Amazon Leo service transition.

Kill Conditions — S64 refined

Hard-kill conditions (full exit):

- K-GSAT-1: HSR second request leads to DOJ block — low probability but immediate exit on formal complaint.
- K-GSAT-2: FCC declines to approve spectrum transfer — deal cannot close.
- K-GSAT-4: Amazon invokes MAE — termination fee partially offsets but signals structural deal break.
- K-GSAT-5: Amazon voluntary walk — termination fee recovery but exit immediately.

Soft-kill conditions (re-evaluate, may partially hold):

- K-GSAT-3: HIBLEO-4 milestone miss triggers full \$110M adjustment — spread narrows by approximately 0.9%; thesis survives at reduced floor, may hold depending on post-adjustment spread.
- K-GSAT-6 (spread inflation): GSAT trades above \$89.21 and tracks near \$90 consistently — spread closed, exit.

Watch conditions (intensify monitoring, no exit):

- 13D/A activity by arbitrage funds at size — signals institutional arb consensus.
- Apple 13D/A activity — could indicate transition to Amazon Leo support or, if stake reduced, tactical exit.
- Competing-bid rumor or incoming proposal — monitor for verified 8-K.

Catalyst Calendar

mid-May 2026	Schedule 14C information statement expected (30 days post-8-K)
mid-May 2026	HSR filing and 30-day waiting period begins
15 June 2026	S-4 registration statement for stock-election consideration expected (45 business days from signing)
Q3 2026	HSR clearance (base case) or second-request issuance (approximately 15-25% probability)
Q3 2026 - Q1 2027	FCC spectrum transfer approval (base case 14-18 months from announcement)
Ongoing 2026-2027	HIBLEO-4 replacement-satellite deployment milestones (quarterly 10-Q disclosure)
mid-2027	Expected close (base case)

Source Trail

- 8-K of 14 April 2026 (comprehensive disclosure of the merger agreement): SEC accession 0001140361-26-014528. Items 1.01 (Material Definitive Agreement) + 2.03 + 7.01 + 9.01. Exhibit 2.1 contains the full Merger Agreement text (approximately 794KB).
- Schedule 13D/A Amendment No. 14 of 15 April 2026 (FL Investment Holdings LLC / Thermo): SEC accession 0001193125-26-157479. Exhibit 99.1 is the Stockholder Support Agreement dated 13 April 2026.
- Press release (Ex-99.1 to 8-K): https://www.sec.gov/Archives/edgar/data/1366868/000114036126014528/ef20070409_ex99-1.htm
- Merger Agreement (Ex-2.1): https://www.sec.gov/Archives/edgar/data/1366868/000114036126014528/ef20070409_ex2-1.htm
- Stockholder Support Agreement (Ex-99.1 to 13D/A): https://www.sec.gov/Archives/edgar/data/1379581/000119312526157479/ck0001366868-ex99_1.htm
- Internal research notes (Session 64 / Session 65): Investment tool/investment_discovery_system/research/2026-04-16_S64_major_developments.md and related S65 follow-up.

NOT INVESTMENT ADVICE. For human review before any action. Primary-source verification required before position sizing.

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